BAHAMA REALTY & DEVELOPMENT CORPORATION
ACCOUNTS PAYABLE TRAINING & PROCEDURES DIRECTORY
Prepared by: Accounting Manager
Department: Accounting

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1. PURPOSE

This directory provides a summary of all Accounts Payable guides, procedures, and training materials to support the AP Associate in performing duties accurately, efficiently, and in compliance with company policies and BIR regulations.

All AP staff are required to familiarize themselves with these documents.

2. DOCUMENT LIST AND DESCRIPTION

2.1 Accounts Payable Associate Onboarding Guide

Purpose:
Introduces the AP role, responsibilities, workflow, and expectations.

Contents:
• Role overview
• Daily, weekly, and monthly tasks
• Approval process
• System usage (Zoho Books)
• Internal control policies
• Performance expectations

2.2 Business Entities Guide

Purpose:
Explains the different Bahama entities and how to determine which company should record and pay expenses.

Contents:
• Definition of business entity
• Entity identification process
• Intercompany transaction rules
• Bank account separation
• Escalation guidelines

2.3 VAT and Expanded Withholding Tax (EWT) Training Guide

Purpose:
Provides tax knowledge necessary for accurate accounting and compliance.

Contents:
• VAT concepts and claim rules
• EWT concepts and computation
• Relationship between VAT and EWT
• Accounting entries
• Common mistakes to avoid
• Compliance reminders

2.4 BIR Form 2307 Preparation Guide

Purpose:
Ensures accurate preparation and issuance of withholding tax certificates.

Contents:
• Required supplier information
• ATC usage
• Income payment plotting (net of VAT)
• Step-by-step preparation
• Internal control requirements
• Release procedure

2.5 ATC Masterlist (Alphanumeric Tax Code Reference)

Purpose:
Standard reference for withholding tax classification per vendor.

Contents:
• Vendor tax classification
• ATC codes
• Withholding rates
• VAT status
• Basis of computation
• Company tax policy reference

This document must always be consulted before processing payments.

3. SUPPORTING FILES AND TOOLS

The following tools support AP operations:

• Vendor Masterlist
• ATC Masterlist Excel File
• Payment Monitoring File

• 2307 Monitoring Log
• Supplier Documents Folder
• Zoho Books Attachments

4. DOCUMENT LOCATION

All guides are stored in:

Shared Drive → Accounting Department → Accounts Payable → Procedures & Training

AP staff must always refer to the latest version.

5. INTERNAL CONTROL PRINCIPLE

The Accounts Payable function follows segregation of duties:

AP Associate — Preparation and recording
Accounting Supervisor & Assistant Accounting Supervisor — Review and approval
COO — Final approval

No staff is allowed to bypass the approval hierarchy.

6. ESCALATION POLICY

The AP Associate must escalate immediately if:

• Tax classification is unclear
• Vendor documents are incomplete
• Entity ownership is uncertain
• Unusual or high-value transactions occur
• Pressure to bypass controls is encountered

Contact: AS/AAM/AM

7. TRAINING EXPECTATION

AP staff are expected to:

• Study all guides
• Ask questions when unsure
• Follow procedures consistently
• Maintain documentation accuracy
• Protect company compliance

Accuracy is prioritized over speed.

8. ACKNOWLEDGEMENT

I acknowledge that I have received access to the Accounts Payable training directory and understand that I am required to follow all procedures contained in the referenced guides.

Employee Name: ________________________

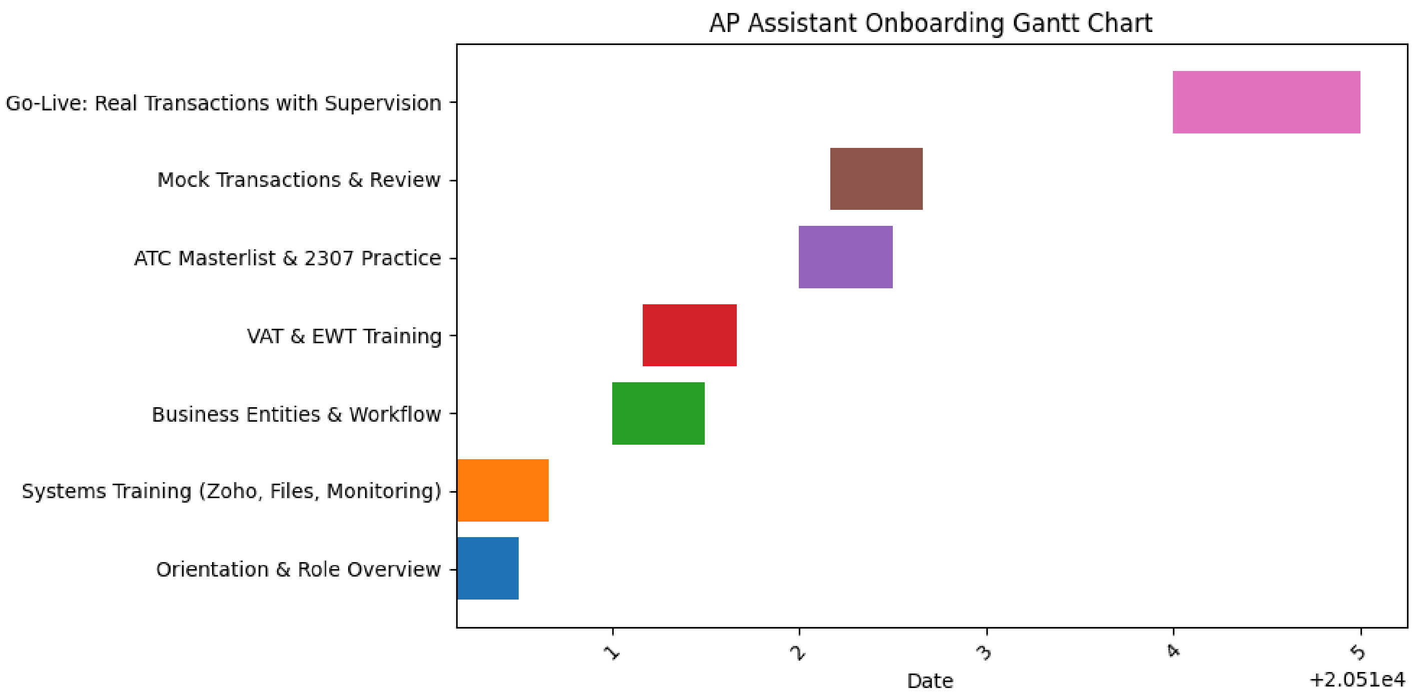
Signature: _____________________________

Date: __________________________________

Approved by:

Accounting Manager: ________________________

Date: ____________________



BAHAMA REALTY & DEVELOPMENT CORPORATION
ACCOUNTING ASSISTANT - AP ONBOARDING GUIDE
Prepared by: Accounting Manager
Department: Accounting & Finance

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1. ROLE OBJECTIVE

The Accounting Assistant - AP is responsible for ensuring that all company obligations to suppliers and vendors are recorded accurately, approved properly, and paid on time, while maintaining complete documentation and compliance with internal controls.

2. REPORTING LINE

Reports To: Accounting Supervisor/Assistant Accounting Manager
Coordinates With:
• Treasury Team
• Procurement Team
• Operations Team
• Vendors / Suppliers

3. KEY RESPONSIBILITIES

Daily Responsibilities

✅ Receive and review supplier invoices and billing documents
✅ Verify completeness of documents (PO, DR, SOA, OR, Contract if applicable)
✅ Record bills in the accounting system (Zoho Books)
✅ Monitor due dates and payment schedules
✅ Respond to inquiries regarding payables
✅ Maintain organized soft copies of all documents

Weekly Responsibilities

✅ Prepare Accounts Payable Aging Report
✅ Follow up pending approvals from departments
✅ Coordinate with Treasury for scheduled payments
✅ Update payment monitoring file

Monthly Responsibilities

✅ Reconcile supplier statements of accounts
✅ Ensure all invoices for the month are recorded
✅ Assist in month-end closing (accruals if needed)
✅ Support audit requirements if requested

4. STANDARD WORKFLOW PROCESS

Step 1 — Receipt of Documents

Documents may come from:

• Procurement
• Operations
• Vendor email
• Utilities (Meralco, PLDT, Converge, Smart, Globe) Portals
• Internal requestors

Check for completeness before processing.

Required Documents:

• Invoice / Billing Statement
• Delivery Receipt / Service Completion Proof
• Purchase Order (if applicable)
• Contract (if applicable)

Incomplete documents must NOT be processed.

Step 2 — Verification

Confirm:

✔ Correct company name
✔ Correct amount
✔ No duplicate billing
✔ Approved purchase
✔ Supporting documents attached

If discrepancies exist → coordinate with Procurement or Accounting Supervisor or Assistant Accounting Manager.

Step 3 — Recording in Zoho Books

Create Bill Entry:

• Vendor Name
• Invoice Number
• Date
• Due Date
• Expense Account
• Tax Type (VAT / Non-VAT / Withholding if applicable)
• Attachment of documents

Always attach soft copies. All must be attached.

Step 4 — Approval Process

Bills must be approved before payment.

Approval Flow:

AP Assistant → Accounting Supervisor→ Assistant Accounting Manager → COO

Step 5 — Payment Endorsement to Treasury

Provide Treasury:

- Approved bill copy
- Payment request summary
- Due date
- Vendor details

Treasury handles the payment release.

Step 6 — Filing

Maintain:

Soft Copy Folder Structure:

Accounts Payable
    2026
        Vendor Name
            Invoice

Ensure documents are searchable and complete.

5. INTERNAL CONTROL RULES

❗ Never process payments without complete documents
❗ Never approve your own entries
❗ Never modify records without approval
❗ Always attach supporting files in Zoho
❗ Always follow payment approval hierarchy

If unsure → ask Accounting Supervisor or Assistant Accounting Manger or Accounting Manager immediately.

6. SYSTEM ACCESS

Systems Used:

• Zoho Books
• Zoho Mail
• Shared Drive / Google Drive
• Payment Monitoring File (Excel)

Login credentials are confidential.

7. PERFORMANCE EXPECTATIONS

The AP Assistant is expected to demonstrate:

Accuracy — minimal errors
Timeliness — payments processed on schedule
Organization — complete documentation
Communication — proactive coordination
Integrity — strong internal control compliance

8. COMMON AP SCENARIOS

Examples:

Purchasing follow-up on payment status
Missing documents from departments
Duplicate invoices
Urgent payment requests
Tax withholding concerns

Always escalate unclear situations.

9. ESCALATION GUIDE

Escalate immediately if:

• Suspicious transactions
• Duplicate billing suspected
• Pressure to bypass process
• Large payment discrepancies
• Vendor complaints

Contact: Accounting Supervisor or Assistant Accounting Manager or Accounting Manager

10. FIRST 2 WEEKS LEARNING PLAN

Week 1:

• System orientation
• Document familiarization
• Shadow AP process
• Handle actual transactions with supervision

Week 2:
• Independent processing with review
• Learn vendor reconciliation

11. ACKNOWLEDGEMENT

I acknowledge that I have received and understood the Accounts Payable onboarding guide and agree to follow company policies and procedures.

Employee Name: ________________________

Signature: _____________________________

Date: __________________________________

Approved by:

Accounting Manager: _________________________

Date: ______________________

BAHAMA REALTY & DEVELOPMENT CORPORATION
BUSINESS ENTITIES GUIDE FOR ACCOUNTS PAYABLE
Prepared by: Accounting Manager
Department: Accounting & Finance

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1. PURPOSE

This guide helps the Accounts Payable Assistant understand the different business entities within Bahama and ensures that all transactions are recorded under the correct company.

Recording expenses under the wrong entity can cause financial misstatements, tax issues, and audit findings.

2. WHAT IS A BUSINESS ENTITY?

A business entity is a separate legal company with its own:

• SEC Registration
• TIN (Tax Identification Number)
• Bank Accounts
• Financial Statements
• Obligations and Liabilities

Even if companies belong to the same owner, they must be treated separately in accounting.

3. BAHAMA BUSINESS ENTITIES

Entity 1: ____________________________
Purpose: ____________________________
Main Operations: ____________________

Entity 2: ____________________________
Purpose: ____________________________
Main Operations: ____________________

4. WHY THIS IS IMPORTANT IN ACCOUNTS PAYABLE

Before recording any invoice, always identify:

✅ Which entity received the goods or services
✅ Which entity name appears on the invoice
✅ Which entity will pay the obligation
✅ Which entity budget approved the expense

Never assume — always verify.

5. HOW TO IDENTIFY THE CORRECT ENTITY

Check the following:

✔ Company name on the invoice
✔ Delivery location / branch
✔ Purchase request origin
✔ Contract name
✔ Email requestor
✔ Paying bank account

If unclear → ask AS/AMM/AM immediately.

6. GOLDEN RULE IN AP

The entity that BENEFITS from the expense should record the expense.

Not necessarily the entity that pays.

If one entity pays for another → this becomes Intercompany Transaction.

Do NOT decide intercompany entries without approval.

7. INTERCOMPANY TRANSACTIONS

Example:

Entity A pays supplier for Entity B.

Correct treatment:

Entity A records:
Due from Entity B (Receivable)

Entity B records:
Expense + Due to Entity A (Payable)

Always coordinate with AS/AMM/AM before posting.

8. COMMON MISTAKES TO AVOID

❌ Posting expenses to the wrong company
❌ Mixing documents between entities
❌ Recording without verifying entity ownership
❌ Assuming entities are interchangeable

They are NOT interchangeable.

10. WHEN TO ESCALATE

Escalate immediately if:

- Invoice entity name does not match requestor
- Payment requested from different entity
- Intercompany situation suspected
- Vendor confusion about billing company
- Large or unusual transaction

Contact: AS/AMM/AM

11. INTERNAL CONTROL REMINDER

Each entity must maintain:

- Separate books
- Separate approvals
- Separate documentation

This is required for compliance and audit.

12. ACKNOWLEDGEMENT

I understand that Bahama companies operate as separate legal entities and I will ensure all transactions are recorded under the correct entity.

Employee Name: ________________________

Signature: _____________________________

Date: __________________________________

Approved by:

Accounting Manager: _________________________

Date: _______________________

BAHAMA REALTY & DEVELOPMENT CORPORATION
AP ASSISTANT TRAINING GUIDE
Expanded Withholding Tax (EWT), VAT, and BIR Form 2307 Preparation
Prepared by: Accounting Manager

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1. OVERVIEW

As an Accounts Payable Assistant, you are responsible for:

✅ Identifying if a transaction is subject to withholding tax
✅ Computing the correct withholding amount
✅ Recording VAT correctly in the accounting system
✅ Preparing accurate BIR Form 2307
✅ Ensuring compliance with BIR regulations

Incorrect tax handling may result in penalties to the company.

2. WHAT IS EXPANDED WITHHOLDING TAX (EWT)?

Expanded Withholding Tax (EWT) is a tax withheld by the company from payments to suppliers and remitted to the BIR on their behalf.

The withheld amount becomes the supplier's tax credit.

Example:

Supplier billing: ₱10,000
EWT 2%: ₱200

Amount paid to supplier: ₱9,800
₱200 is remitted to BIR.

3. COMMON EWT RATES YOU WILL USE

(Confirm with AS/AAM/AM if uncertain)

Professional Fees — 5% or 10%
Rental — 5%
Supplies — 1%
Services — 2%
Contractors — 2%
Commissions — 5%
Transportation — 1% or 2%

Always verify using the supplier's BIR Form 2303.

Never assume.

4. WHAT IS VAT?

Value Added Tax (VAT) is 12% tax added to goods and services by VAT-registered suppliers.

You will see this on invoices with:

VAT Amount
VATable Sales
Total Amount

If supplier is NON-VAT → No VAT claimable.

5. HOW TO KNOW IF VAT IS CLAIMABLE

VAT is claimable only if:

✅ Supplier is VAT registered
✅ Official Receipt or Sales Invoice is provided
✅ Company name and TIN are correct
✅ With VAT breakdown shown
✅ Expense is business related

If no OR yet (example: SOA only) → Do NOT claim VAT yet.

6. RELATIONSHIP BETWEEN VAT AND EWT

Important rule:

EWT is computed on the **amount before VAT**.

Example:

Professional Fee: ₱10,000
VAT 12%: ₱1,200

Total Bill: ₱11,200

EWT 10% = ₱1,000 (based on ₱10,000 only)

Amount paid to supplier: ₱10,200

7. ACCOUNTING ENTRY SAMPLE

Example: Professional Fee with VAT and EWT

Dr Professional Fee Expense — 10,000
Dr Input VAT — 1,200
Cr EWT Payable — 1,000
Cr Cash / AP — 10,200

8. WHAT IS BIR FORM 2307?

Form 2307 is the certificate issued to suppliers showing the taxes withheld from them.

This serves as their tax credit.

You must prepare this accurately.

9. WHEN TO ISSUE 2307

2307 must be issued:

Monthly or Quarterly depending on company policy.

Normally after:

✔ Payment is made
✔ EWT is recorded
✔ Included in 1601EQ filing

Always coordinate with AS/AAM/AM.

10. INFORMATION NEEDED FOR 2307

You will get information from:

Supplier 2303
Vendor Master File
Accounting System

Required details:

Supplier Name
Supplier TIN
Supplier Address
Company Name
Company TIN
Nature of Income Payment

ATC Code
Amount of Income Payment
Tax Rate
Amount of Tax Withheld

Accuracy is critical.

11. CORRECT WAY TO PLOT AMOUNT IN 2307

VERY IMPORTANT RULE:

Income Payment = Amount BEFORE VAT
Tax Withheld = Computed EWT

Example:

Invoice Total: ₱11,200
VAT: ₱1,200
Net of VAT: ₱10,000

2307 Entry:

Income Payment: ₱10,000
Tax Withheld: ₱1,000

Never include VAT in Income Payment.

12. ATC CODE (ALPHANUMERIC TAX CODE)

Examples:

WI158 — Professional Fees
WC010 — Rental
WI259 — Supplies
WI160 — Services

Always confirm ATC with AS/AAM/AM or tax reference.

Wrong ATC = BIR penalty.

13. STEP-BY-STEP 2307 PREPARATION

Step 1 — Confirm payment recorded
Step 2 — Confirm EWT amount
Step 3 — Get supplier details from 2303
Step 4 — Encode:

Income Payment (net of VAT)
Tax Rate
Tax Withheld

Step 5 — Review before printing
Step 6 — Secure signature of authorized signatory
Step 7 — Release to supplier with receiving copy

14. COMMON MISTAKES TO AVOID

❌ Including VAT in income payment
❌ Wrong TIN
❌ Wrong ATC
❌ Wrong tax rate
❌ Issuing without payment made
❌ Using SOA instead of official receipt basis
❌ Mathematical errors

Always double check.

15. INTERNAL CONTROL RULES

AP prepares
Accounting Manager reviews
Authorized Signatory signs

Never release unsigned 2307.

16. WHEN TO ASK YOUR MANAGER

Ask immediately if:

• Unsure of tax rate
• VAT unclear
• Supplier documents incomplete
• New vendor
• Large payment
• Complex contract

Do not guess.

17. QUICK REFERENCE FORMULA

VATable Expense:

Income Payment = Total ÷ 1.12
VAT = Total − Income Payment

Then compute EWT.

18. DOCUMENTS TO COLLECT FROM SUPPLIERS

Always request:

BIR 2303
TIN
Address
VAT Status
Official Receipt / Sales Invoice

Without 2303 → Do not finalize tax treatment.

19. FINAL REMINDER

Taxes are compliance-critical.

Accuracy is more important than speed.

When unsure → escalate immediately.

20. ACKNOWLEDGEMENT

I understand my responsibility regarding EWT, VAT, and BIR Form 2307 preparation and will follow company procedures.

Employee Name: ________________________

Signature: _____________________________

Date: __________________________________

Approved by:

Accounting Manager: _________________________

Date: ______________________

BAHAMA GROUP — ATC MASTERLIST (EXPANDED WITHHOLDING TAX GUIDE)
Prepared by: Accounting Manager
Department: Accounting & Finance

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1. PURPOSE

This masterlist serves as the official reference for:

• Correct Alphanumeric Tax Code (ATC)
• Withholding Tax Rates
• Vendor Classification
• 2307 Preparation
• 1601EQ Filing Consistency

All AP Associates must refer to this list before recording transactions.

If a vendor is not listed → escalate to Accounting Manager.

2. ATC MASTERLIST TABLE

Vendor Name	Nature of Payment	Supplier Type	VAT Registered	ATC	Tax Rate	Basis of EWT	Remarks
ABC Law Office	Professional Fees	Individual	VAT	WC860	5%	Net of VAT	Lawyer services
XYZ Consulting Corp	Professional Fees	Corporation	VAT	WC860	10%	Net of VAT	Consultancy
Office Warehouse Inc	Office Supplies	Corporation	VAT	WI259	1%	Net of VAT	Goods purchase
DEF Rentals	Office Rental	Corporation	VAT	WC010	5%	Net of VAT	Monthly rent
Fuel Supplier Inc	Fuel Purchase	Corporation	VAT	WC860	1.5%	Net of VAT	RR 24-2025
Marketing Agency Co	Marketing Services	Corporation	VAT	WC860	2% or 10%	Net of VAT	Confirm rate

IT Solutions Inc	IT Services	Corporation	VAT	WC860	2%	Net of VAT	System services
Construction Contractor	Contractor	Corporation	VAT	WC160	2%	Net of VAT	Projects

3. COMMON ATC REFERENCE GUIDE

SERVICES / PROFESSIONAL

WC860 — Various income payments subject to EWT
Rate depends on classification (5%, 10%, 1.5%, etc.)

WI160 — Income payments to contractors
Usually 2%

WI158 — Professional fees (legacy classification in some cases)

GOODS

WI259 — Purchase of goods
1%

RENTALS

WC010 — Rental of real property
5%

COMMISSIONS

WI406 / WI640 — Commissions
5% or 10%

4. RULES IN COMPUTING EWT

Always compute on:

Income Payment = Amount BEFORE VAT

Formula:

If VAT inclusive amount:

Net Amount = Total ÷ 1.12
EWT = Net Amount × Tax Rate

Never include VAT in withholding computation.

5. 2307 PREPARATION RULE

Income Payment in 2307 = Net of VAT
Tax Withheld = Computed EWT

ATC must match 1601EQ filing.

Mismatch causes BIR penalties.

6. VENDOR SETUP PROCEDURE

Before processing first payment:

Collect:

✔ BIR 2303
✔ TIN
✔ Address
✔ VAT status
✔ Contract / Agreement

Then assign ATC in masterlist.

No vendor should be paid without tax classification.

7. INTERNAL CONTROL POLICY

AP Associate — prepares classification
Accounting Manager — approves ATC assignment
Finance Head — oversight

Unauthorized ATC usage is prohibited.

8. ESCALATION RULE

Escalate if:

• New vendor
• Unusual transaction
• Multiple tax rates possible
• Government contracts
• Large payments
• Unclear VAT status

Never guess ATC.

9. MASTERLIST MAINTENANCE

Update frequency:

Monthly or as needed.

Owner: Accounting Manager

10. QUICK REMINDER FOR AP STAFF

When in doubt:

STOP → VERIFY → ASK

Accuracy is more important than speed.